

Income Strategies

PRO PRACTICE WORKSHEET

Work through these by hand or with a spreadsheet. There's no wrong answer, the goal is just practice.

Section 1 - Calculate a Covered Call Outcome

You own stock at a \$50 cost basis and sell a \$55 call for \$1.50 premium. Calculate the total P&L per share if the stock is at \$48, \$53, and \$60 at expiration.

Section 2 - Calculate a Cash-Secured Put Outcome

You sell a put with a \$50 strike for a \$2 premium, with \$5,000 cash set aside. What happens if the stock is at \$55 at expiration? What about \$42?

Section 3 - Weigh the Trade-Off

For a stock you own that you think could rally significantly, would selling a covered call still make sense? Why or why not?

Section 4 - Pick a Strike You're Comfortable With

For a stock currently at \$75 that you'd be happy to buy more of at \$65, would a cash-secured put with a \$65 strike make sense as an entry strategy? Explain.

Section 5 - Reflection

In your own words, explain why these are called 'income strategies' rather than risk-free strategies.